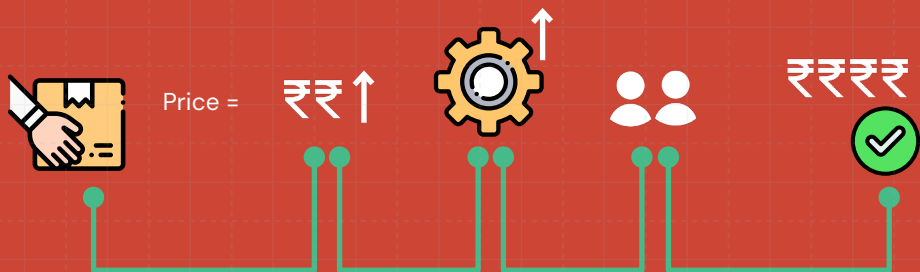
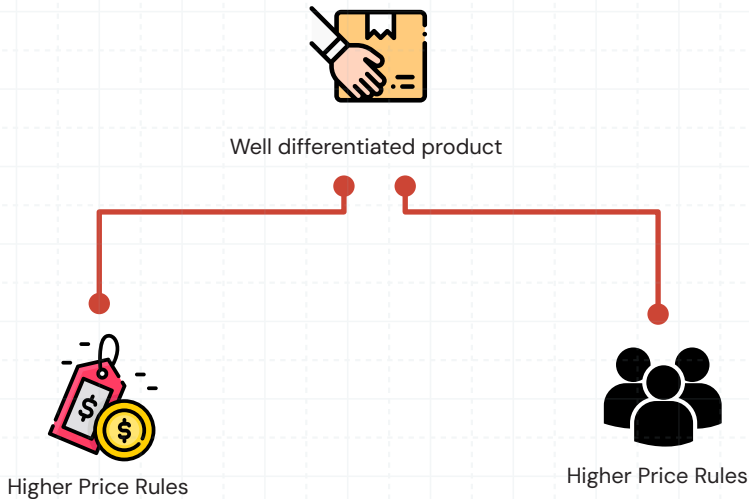


3. WHAT DO THE FINANCIALS SAY?

An advantage is only an advantage if the financial statements suggest so. If a company has a cost advantage, then its profit and loss statement should reflect that. For example, if a mining company has a cost advantage by having its processing facilities closer to the mines themselves, then it should have a low per-unit cost. Some companies might also have higher sales if they are able to provide lower prices to their customers.



Competitive advantages must be reflected in financials in some or the other way for it to have any value to the shareholders. If this is not so, then either the competitive advantage is very weak or it is not being exploited well enough due to various reasons like poor management, badly marketed products, or regulatory environment.